

Unimicron

Additional thoughts on the investigation incident of “products’ origin”

Maintain Rating: BUY | PO: 1,400 TWD | Price: 1,110 TWD

Investigation more likely related to non-substrate side

Following our [first take on the investigation incident](#) (August 28), we lay out our further thoughts in this report. While the company does not disclose specifically which products or production sites are under investigation, supply chain checks indicate it is more likely to be related to the PCB (non-substrate), as the investigation may have taken place in the Hejiang plant (which focuses on PCB/HDI).

Concerns on high-end ABF substrate look overstated

Given that Unimicron’s high-end ABF substrate capacity is all located in Taiwan, we believe the issue of “mislabeling the products’ origin” may not be associated with such business. Rather, it is more likely associated with the PCB/HDI business, since the firm operates the factories in both China and Taiwan for production (and there could be some workload sharing in between, which involves the export/import).

Fundamental impact minimal but share price likely to react

PCB/HDI accounts for only 15% of the firm’s 2026 capex, and the business contributes no more than 10% of Unimicron’s profits, based on our estimates. We thus expect no significant impact on the company’s fundamental outlook, yet the share price may still react negatively on Monday, as the relevant issue (label of product origin) could be quite sensitive under the requirement/focus by US authorities and customers.

Positive stance remains backed by S/D in ABF substrate

On high-end ABF substrate, we do not think it makes sense for the firm to source from peers’ overseas capacity, given (1) Unimicron’s relative strength in product quality; and (2) the ongoing industry-wide supply shortage. Maintain Buy given its position as a major supplier (20+% share) in high-end substrate market.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,082	6,673	31,487	51,600	92,653
EPS	3.34	4.38	19.82	32.47	58.31
EPS Change (YoY)	-57.6%	31.1%	352.3%	63.9%	79.6%
Consensus EPS (Visible Alpha)			21.07	40.12	66.29
Dividend / Share	1.50	2.00	9.90	16.20	29.20
Free Cash Flow / Share	(10.15)	(6.13)	(0.489)	19.88	49.36
Valuation (Dec)					
P/E	332.27x	253.38x	56.02x	34.18x	19.04x
Dividend Yield	0.135%	0.180%	0.892%	1.46%	2.63%
EV / EBITDA*	78.20x	155.19x	33.66x	18.33x	11.31x
Free Cash Flow Yield*	-0.876%	-0.530%	-0.044%	1.79%	4.45%

* For full definitions of *IQmethod*SM measures, see page 5.

31 August 2026

Equity

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Stock Data

Price	1,110 TWD
Price Objective	1,400 TWD
Date Established	19-Aug-2026
Investment Opinion	C-1-7
52-Week Range	128.50 TWD-1,230 TWD
Mrkt Val / Shares Out (mn)	55,798 USD / 1,588.9
Market Value (mn)	1,763,649 TWD
Average Daily Value (mn)	828.52 USD
Free Float	83.1%
BofA Ticker / Exchange	UMCRF / TAI
Bloomberg / Reuters	3037 TT / 3037.TW
ROE (2026E)	26.0%
Net Dbt to Eqty (Dec-2025A)	-18.7%

PCB - printed circuit board

HDI - high-density interconnect

ABF - Ajinomoto build-up film

S/D – supply/demand

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iQprofileSM Unimicron

Key Income Statement Data (Dec)

(NT\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	115,373	131,241	188,122	266,337	376,002
Gross Profit	16,315	18,292	47,910	88,961	149,767
Sell General & Admin Expense	(6,156)	(6,619)	(9,032)	(9,877)	(11,321)
Operating Profit	5,117	6,674	31,866	71,116	128,688
Net Interest & Other Income	2,204	2,153	8,794	1,453	1,553
Associates	NA	NA	NA	NA	NA
Pretax Income	7,321	8,827	40,660	72,569	130,241
Tax (expense) / Benefit	(1,765)	(1,277)	(6,909)	(14,683)	(26,316)
Net Income (Adjusted)	5,082	6,673	31,487	51,600	92,653
Average Fully Diluted Shares Outstanding	1,521	1,523	1,589	1,589	1,589

Key Cash Flow Statement Data

Net Income	5,082	6,673	31,487	51,600	92,653
Depreciation & Amortization	17,231	4,587	20,051	24,220	25,836
Change in Working Capital	(5,229)	(4,449)	(12,023)	(16,532)	(23,170)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(6,791)	8,156	13,409	7,306	13,115
Cash Flow from Operations	10,294	14,967	52,923	66,594	108,433
Capital Expenditure	(25,735)	(24,307)	(53,700)	(35,000)	(30,000)
(Acquisition) / Disposal of Investments	(3,050)	1,730	0	0	0
Other Cash Inflow / (Outflow)	(445)	(440)	0	0	0
Cash Flow from Investing	(29,230)	(23,018)	(53,700)	(35,000)	(30,000)
Shares Issue / (Repurchase)	0	2,150	0	0	0
Cost of Dividends Paid	(4,575)	(2,295)	(3,178)	(15,731)	(25,741)
Cash Flow from Financing	8,336	19,073	(3,178)	(15,731)	(25,741)
Free Cash Flow	(15,441)	(9,340)	(777)	31,594	78,433
Net Debt	(14,657)	(20,008)	(16,053)	(31,916)	(84,609)
Change in Net Debt	22,021	3,162	3,955	(15,864)	(52,692)

Key Balance Sheet Data

Property, Plant & Equipment	120,536	125,866	159,515	170,296	174,460
Other Non-Current Assets	23,442	24,628	29,169	29,169	29,169
Trade Receivables	23,617	27,570	39,519	55,950	78,987
Cash & Equivalents	43,753	54,872	50,916	66,780	119,472
Other Current Assets	19,499	22,856	27,153	33,010	40,711
Total Assets	230,847	255,792	306,272	355,204	442,798
Long-Term Debt	21,909	24,019	24,019	24,019	24,019
Other Non-Current Liabilities	NA	NA	NA	NA	NA
Short-Term Debt	7,188	10,845	10,845	10,845	10,845
Other Current Liabilities	102,163	113,921	136,093	149,155	169,838
Total Liabilities	131,260	148,785	170,956	184,019	204,702
Total Equity	99,587	107,007	135,316	171,185	238,097
Total Equity & Liabilities	230,847	255,792	306,272	355,204	442,798

iQmethodSM - Bus Performance*

Return On Capital Employed	3.2%	4.2%	17.0%	30.2%	42.9%
Return On Equity	5.2%	6.5%	26.0%	33.7%	45.3%
Operating Margin	4.4%	5.1%	16.9%	26.7%	34.2%
EBITDA Margin	19.4%	8.6%	27.6%	35.8%	41.1%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	2.0x	2.2x	1.7x	1.3x	1.2x
Asset Replacement Ratio	1.5x	5.3x	2.7x	1.4x	1.2x
Tax Rate (Reported)	24.1%	14.5%	17.0%	20.2%	20.2%
Net Debt-to-Equity Ratio	-14.7%	-18.7%	-11.9%	-18.6%	-35.5%
Interest Cover	4.0x	5.2x	25.0x	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 5.

Company Sector

Electronics

Company Description

Unimicron (3037 TT) was founded in 1990 and listed on the Taiwan Stock Exchange in 1998. The firm manufactures a wide range of PCB and IC substrates for consumer electronics, industrial, and automotive. It is also the leading ABF supplier globally. The company merged with Phoenix Precision Technology (PPT, delisted) in 2009 and expanded its exposure in the IC substrate business. UMC is the biggest shareholder in Unimicron with a 13.3% stake.

Investment Rationale

We have a Buy rating on Unimicron in view of strong demand from AI accelerators (especially ASICs), which we expect to boost the utilization rate of the ABF substrate business from 2H26, in turn bolstering the company's margin profile and profitability going into 2027.

Stock Data

Price to Book Value

13.0x



Price objective basis & risk

Unimicron (UMCRF)

Our PO of NT\$1,400 is based on 35x 2H27-1H28E, which is roughly 1 standard deviation above the historical average of 20x since 2017. In our view, the multiple is appropriate, as we expect Unimicron's earnings to be supported by its high-end technology offerings, where end market demand seems more resilient.

Upside risks are (1) tighter ABF supply, (2) greater PC and regular server demand, and (3) lower competition pressure.

Downside risks are (1) greater ABF expansion from peers, (2) lower ASP content increase at AI server, and (3) bigger drop in the demand of consumer electronic products.

Analyst Certification

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppamong Iemkongaek, CFA, CMT



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVSF	992 HK	Robert Cheng
	Lenovo Group	LVNGY	LVNGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu

NEUTRAL

	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu

UNDERPERFORM

	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethodSM Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders’ Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders’ Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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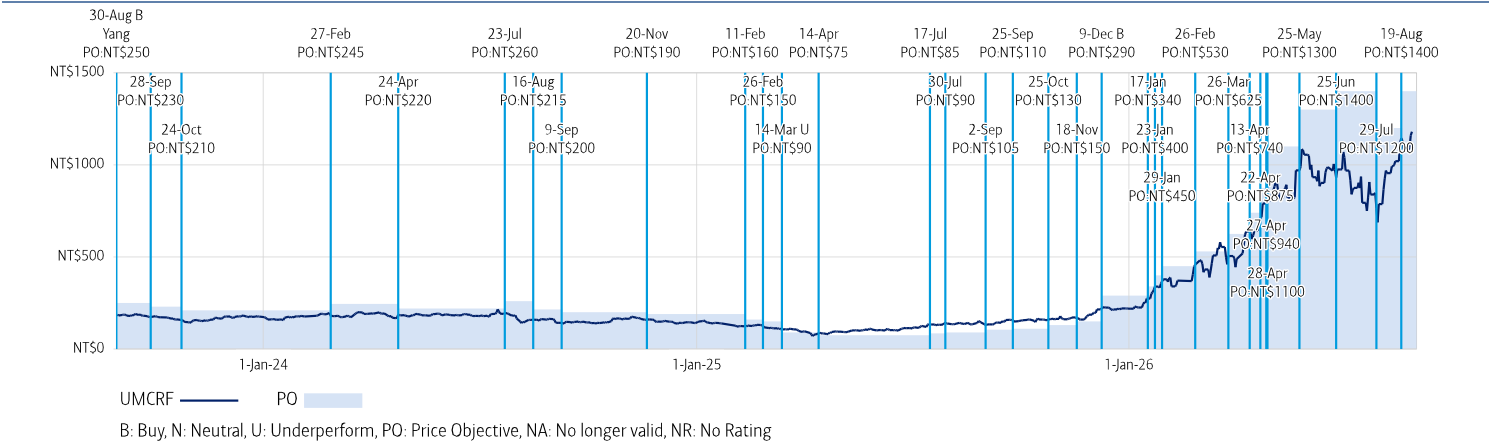
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Unimicron (UMCRF) Price Chart



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Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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